(1751) TCT mentorship - Lecture 8 | PO3 schematics - YouTube
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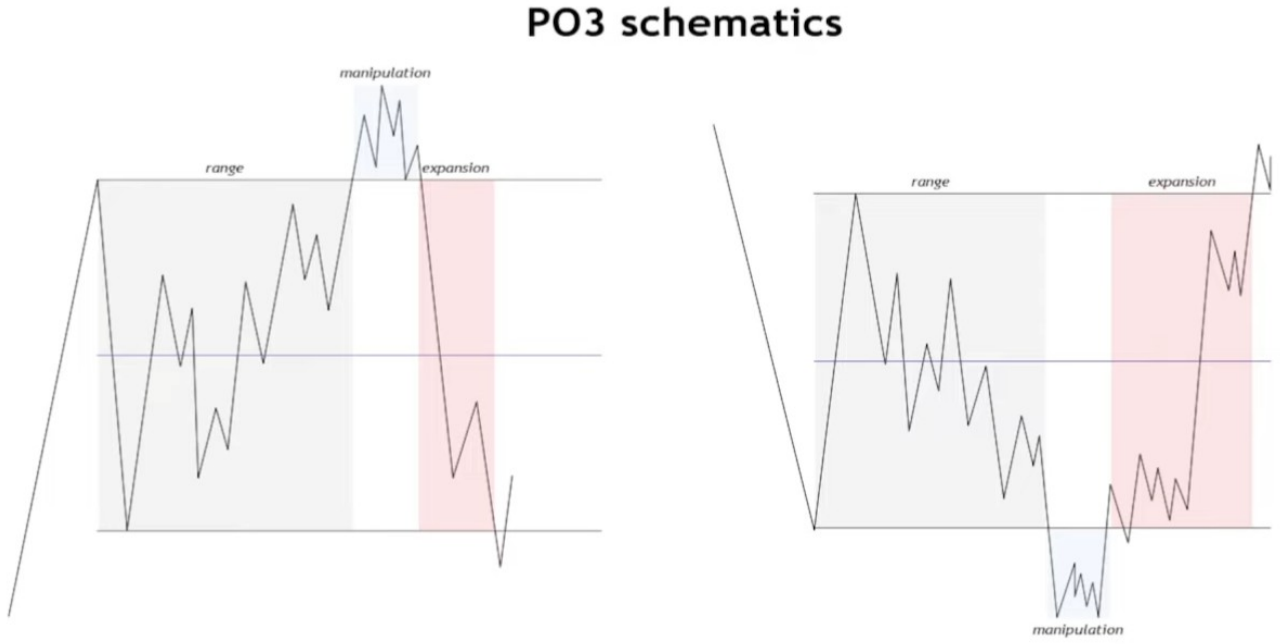
Transcript:

(00:01) what is up guys and welcome to lecture eight of the TCT mentorship where I'll be teaching you everything you need to know regarding po3 schematics and as some of you might notice this video is recorded the 22nd of December 2024 and was not included in the original launch of the TCT mentorship back in the beginning of October and this was mainly because I didn't want the information overload you guys with all these different schematics and it truly wanted you to have the focus on being able to identify goodlooking TCT

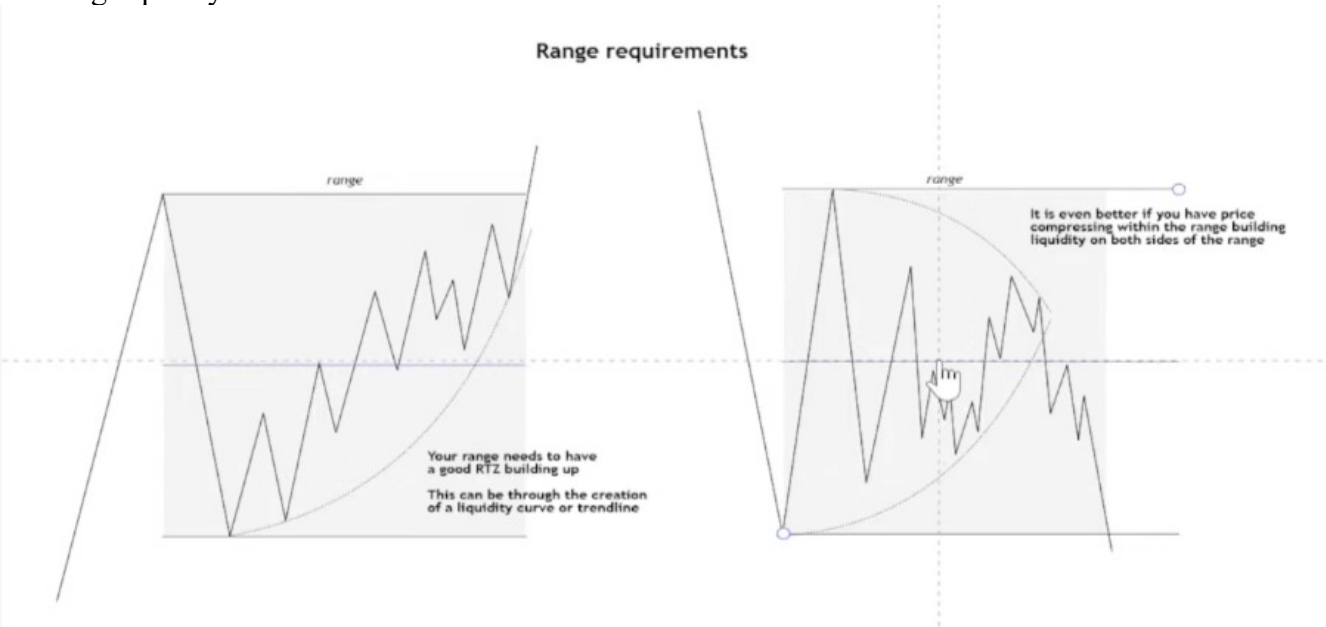


(00:40) accumulation and distribution models because a po3 schematic will be traded in the exact same way as a TCT accumulation or distribution is just a way of building Advanced context um to potentially extend your Target and therefore increase your to reward and now that you guys have been um practicing and studying the TCT models and are slowly getting more and more comfortable trading it I will slowly start to add different types of advanced details to the mentorship to truly prepare all of you for every Market scenario so before
(01:20) I'm going to dive into the po3 schematics I want to clarify that this is not something that I have created it's already a well-known smart money concept uh schematic out there I do just have my own unique rules in order to validate a po3 schematic that I will be sharing with you guys here today so what is a po3 a po3 stands for a power of three and it's a manipulation play in the market to trap retto consisting of three phases you have your range you have your manipulation and then you have your expansion in a
(02:01) bearish po3 you will have a range where price ends up breaking out of that Range High manipulating above and then getting acceptance back inside having a full on reversal back down in the expansion phase you have a range you trap retail into thinking that we're breaking higher higher and then you're reversing back down range manipulation expansion power of three in a bullish P3 you will have a range and you'll have a deviation of the range low manipulating below getting ACS back inside and having a full on reversal back up so in general if you
(02:39) understand the foundation of accumulation distribution models you will understand why the

manipulation is above the Range High and therefore causing it to reverse back down because it's a way to trap retail into thinking that we're going higher where breakout Longs get opened while also sweeping the liquidity of that high and then reversing price back down so it should already start to make sense as to why they're deviating the high why they deviating the low and what follows from it which is the reversal in the opposite

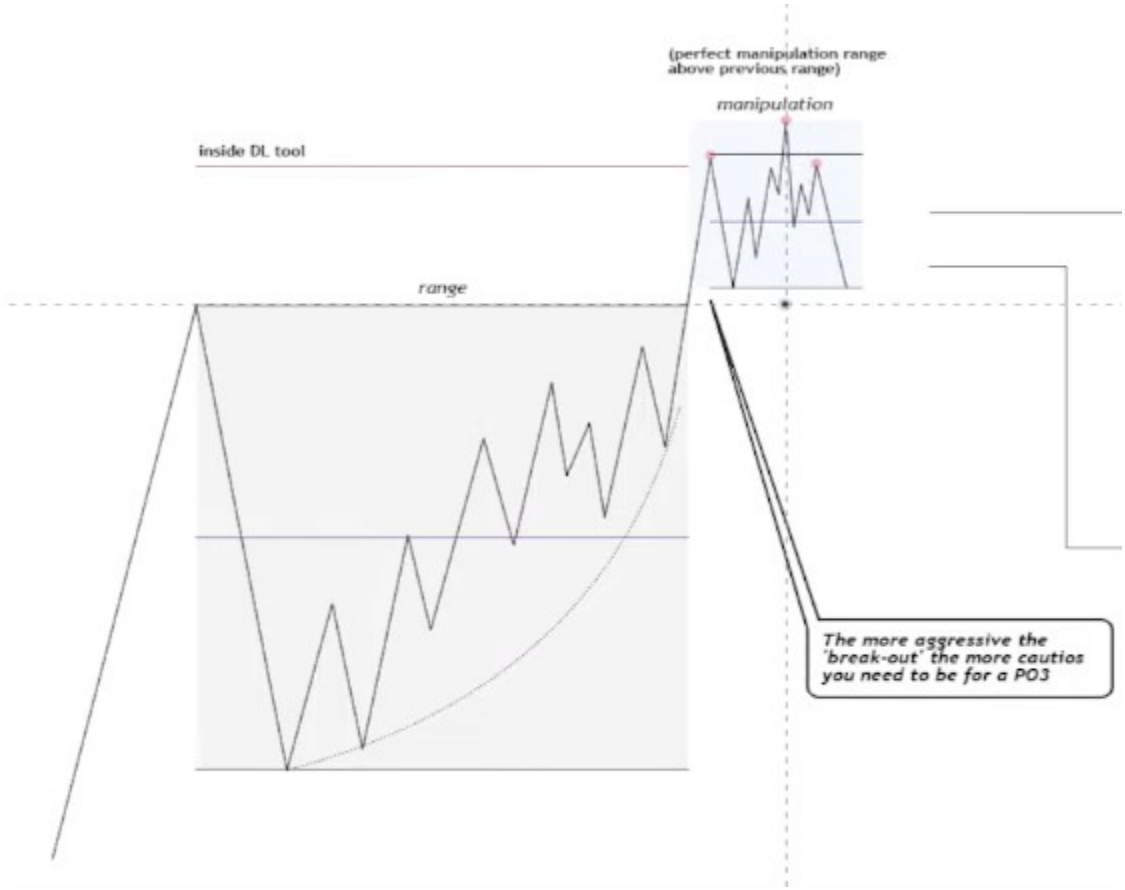
(03:07) direction so to validate po3 schematics I have different types of rules for each of the phases the range the manipulation and the expansion so we're going to start off with the range requirements and the range requirement is one of the most important requirements in the entire po3 schematic and in order to have a valid po3 in your range you need to have a good return to Zone building up prior to deviating your Range High okay this is absolutely key and super important that you have a good return to Zone within

(03:50) the range prior to breaking out of the range and this can be through the creation of a liquidity curve or a trend line which is explained in lecture four of the mentorship it's absolutely crucial you need to have a good return to Zone within the range in order to have a valid po3 now it is even better if you have price compressing within the range building liquidity on both sides what I mean with that is means that you have a range low you have a Range High and price is tightening up inside of that range building liquidity below and

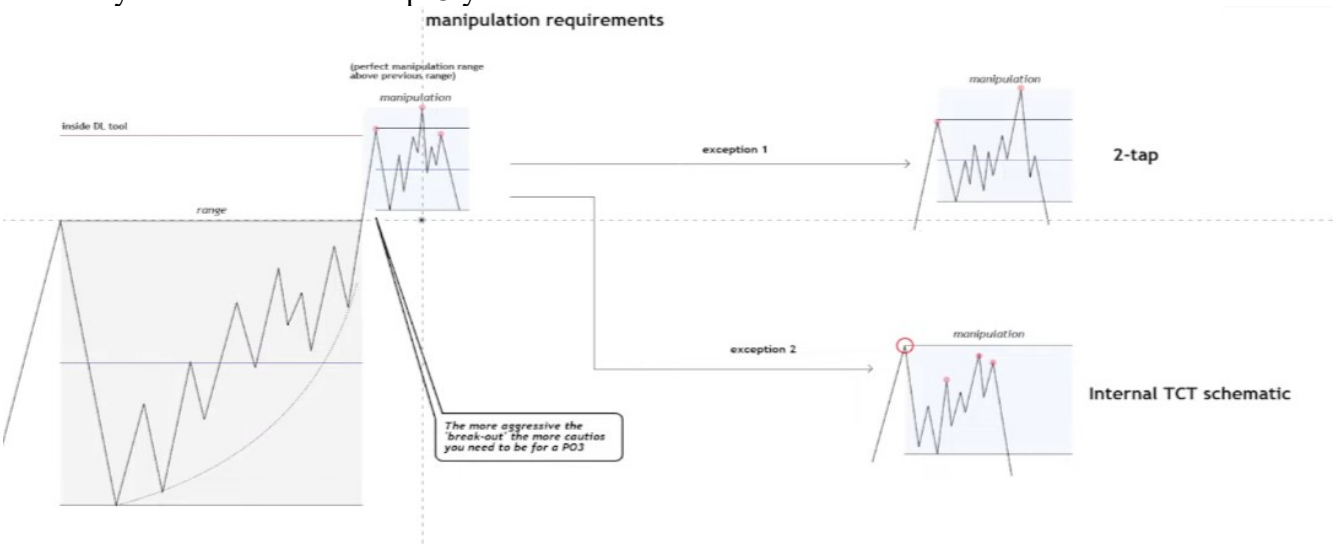


(04:29) building liquidity above and then it starts to deviate on either side okay in this case we're deviating the low and we could have a potential bullish po3 and the reason why this is even better is because it shows just even more that the market makers are purposely sweeping that obvious looking cide liquidity in this case um allowing them to fill their long positions for a potential reversal back up right here on the left you don't see that much Buy side liquidity at the high so you're not sure if you know they're truly sweeping buy side

(05:04) liquidity for a reversal back down but if you see that obvious looking liquidity you know okay they can sweep all of that deviated and then reverse price back up while also if you are compressing inside of the range you most likely have some sort of a retail pattern uh like um a bearish pennant or whatever they like to use which is like this triangle compressing effect and then they will call for a breakdown and often times when you have this compressing formation leaving liquidity on both sides the first move tends to be



(05:37) the fake move to trap all these retail pattern Traders okay so whenever you have this compressing effect building liquidity on both sides and then you move in a certain direction that tends to be the fake move adding extra Confluence to the power and the strength of your po3 so to summarize the range requirements you need to have a good turn to Zone building up prior to breaking out of the range aka deviating the range so now we're coming into the manipulation requirements and obviously whenever we have a po3 you don't have a



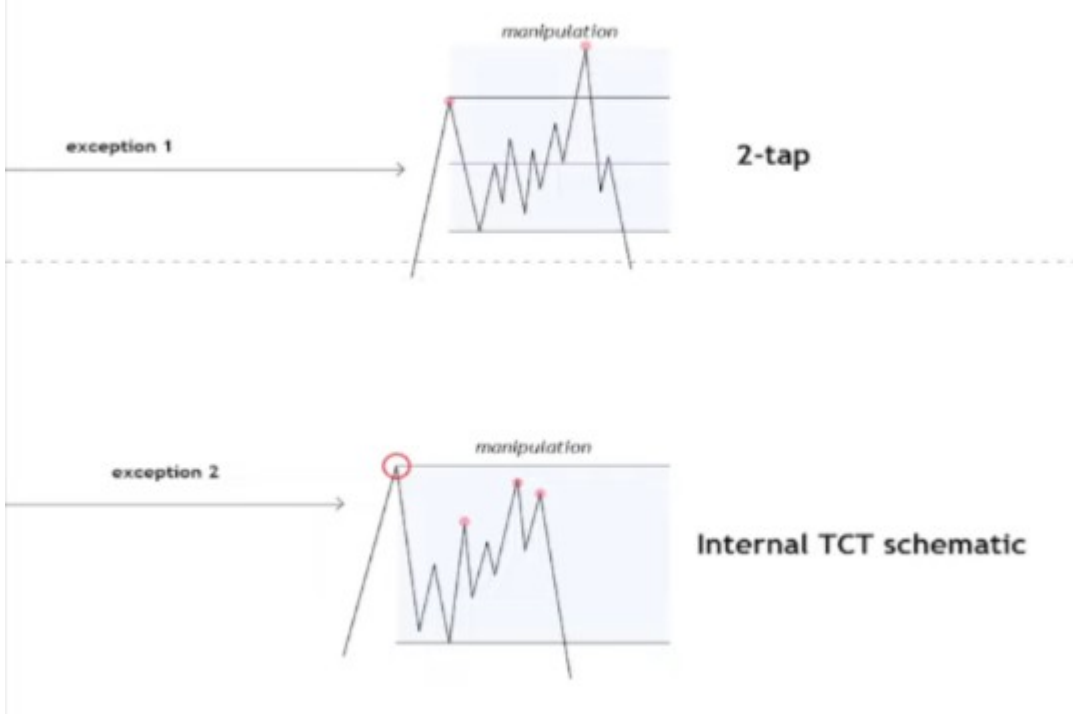
(06:17) range breakout but you have a range deviation so you want your manipulation price action to not close above the dl2 like we shown you in lecture two regarding ranges okay so your manipulation

phase needs to be inside of your deviation limit it can Wick above it it just cannot properly close above it okay now in order to have a valid manipulation phase you need to have a TCT model inside of the manipulation range so price breaks out of that range stays inside of the dl2 creates high has to create a new range that then ends up having its TCT model

(07:06) in this case in of a barish po3 you will have a model distribution okay it can be a model one or a model two so you want to break out of the previous range stay inside of your dl2 while creating a perfect manipulation range above that previous Range High that needs to be a distribution model in case of a bearish po3 or an accumulation model in case of a bullish po3 now to add to that the more aggressive the breakout as you can see right here this aggressive push up the more cautious you need to be for a po3 and this is truly a shift in mindset

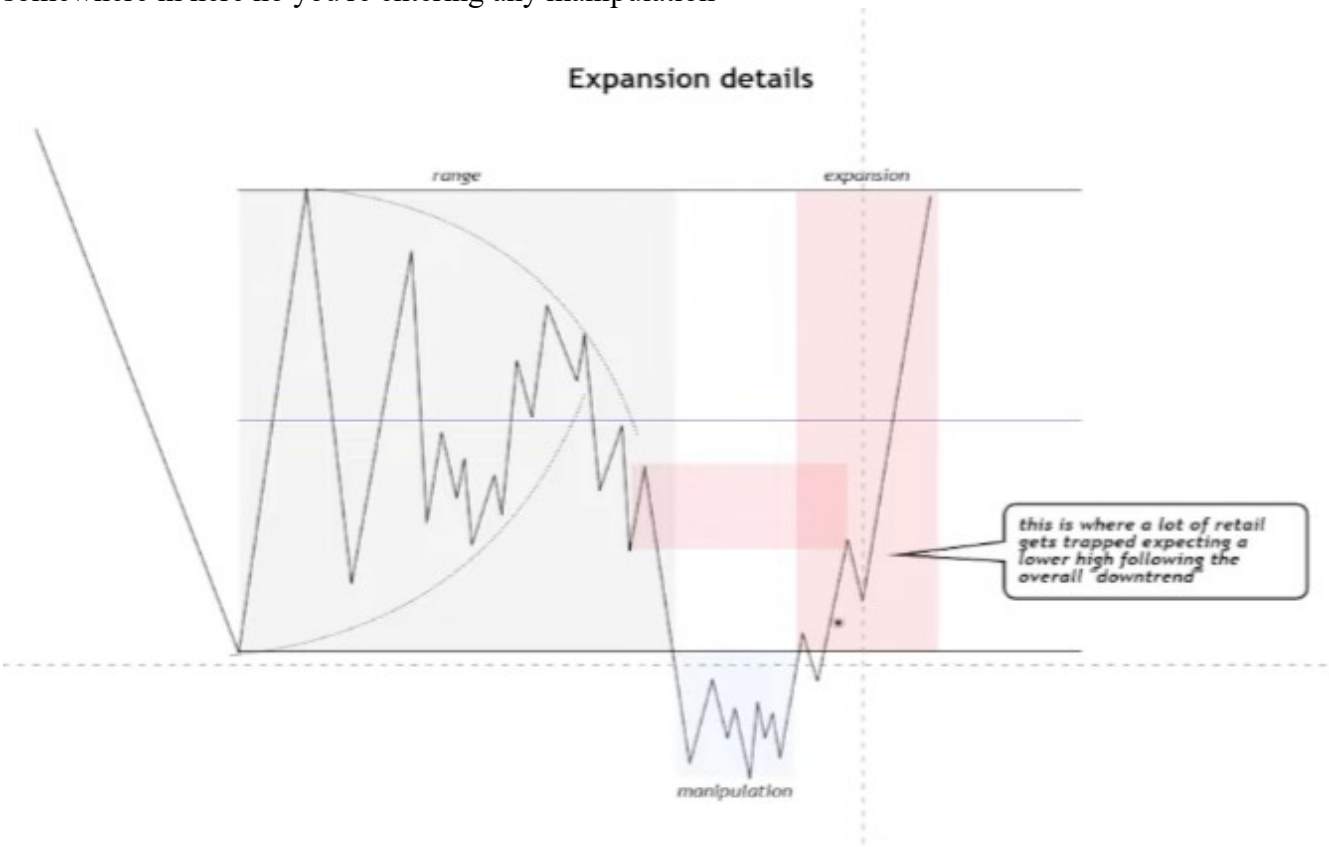
(07:53) whenever you have an aggressive break up from the range but you're still inside of your dl2 you need to be extra cautious for a potential po3 this is because a lot of retail will get extremely bullish immediately because you're breaking out while smart money makes benefit of that or benefits of that thought to create the po3 to create the distribution in the manipulation phase and then reverse price back down and what I said in the beginning of this lecture that p3s are traded in the exact same way as a normal distribution

(08:33) now makes a lot of sense because the entry in a po3 is in the distribution model in the manipulation range in case of a bearish po3 or the entry is in the accumulation model um in the manipulation phase in case of a bullish po3 okay so you have a range you want to aggressively break out of that range stay inside of your dl2 create a new range that then has a valid distribution and then you enter on the third tab of that distribution model like you are used to but now if you are aware of a potential po3 you can Target



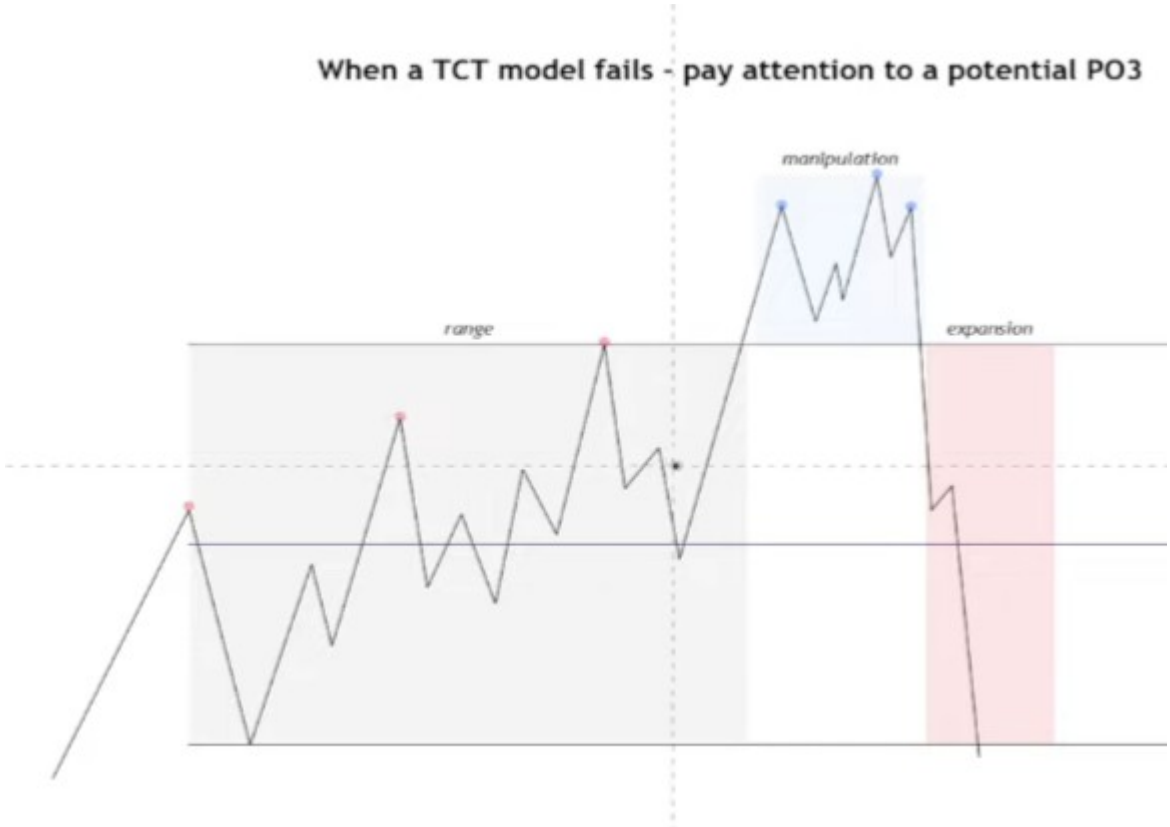
(09:16) the range low of the po3 range low and not just the local manipulation range low that is the difference you can extend your target there are two exceptions I want to talk about which I see uh more often than not okay and that is whenever you have a potential po3 price tends to sometimes put in a two schematic now what is a two t schematic it is simply that price creates that range in the manipulation phase that we want but it only deviates the high once and then already reverses back down never putting in that third tab to

(10:01) validate a distribution model whenever we have this and the return to zone is extremely good so you have an extremely good return to Zone inside of the range while also a good return to Zone inside of the distribution model in the manipulation phase you simply have to enter on the break of structure back to bearish inside of your original range value so you just simply enter as if it was a third tab but it's only a second tab now the other exception is that price sometimes likes to put in an internal TCT schematic now what is an
(10:38) internal TCT schematic it's simply that you create the range inside of the manipulation phase but instead of Distributing taking your Main Range High you have your own distribution model in the upper section of the range but you never take that high okay this also happens um more often than not so I had to mention it and you guys need to be aware of it and again the entry in here is simply on the internal distribution model and sometimes you'll even have a scenario where your exception one and two are combined where the third where
(11:17) the second toab of your internal distribution model actually sweeps that Main Range High meaning you have a two tap schematic but the second tap is part of its own distribution model you guys know about TC model within TCT you know so it's simply where you have a distribution model but the second tab of the distribution sweeps the main Range High now this is something you guys just need to be aware of um because then it's still valid to trade okay now sometimes in case of a two two schematic you do have the risk of getting stopped out in
(11:52) case the manipulation phase wants to put in a model one distribution but that is simply when you have to take the L to to get the W but if you focus on having that proper return to Zone inside of the schematic and inside of the po3 range you will not have this issue okay now going into the expansion details we cannot talk about expansion requirements and the reason for that is because the entry is in the manipulation phase so you're not entering on the break back inside your po3 range somewhere in here no you're entering any manipulation



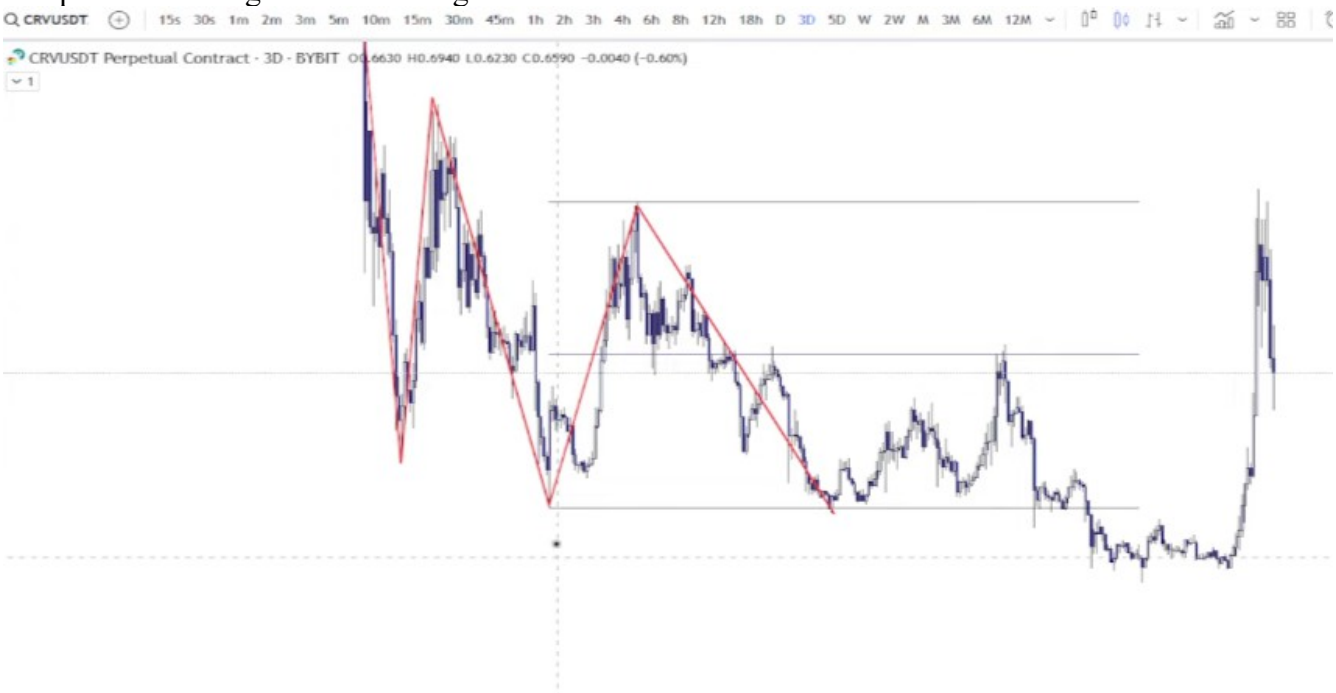
(12:34) range Therefore your expansion cannot have any requirements because you're already in the

trade prior to the expansion happening okay now a funny detail that I wanted to mention in this lecture is that I tend to notice that sometimes there are goodlook Supply zones hindering price or potentially hindering price from having that aggressive reversal back up now this is actually um not that bearish okay this is not that bearish because you want to have a good return to Zone and obviously if you have a supply Zone that hinders your
(13:13) return to Zone because it's resistance but what I tend to notice is that that Supply zone is placed there to trap retail into thinking a lower high is going to take place there following the overall downtrend because the people that are not aware of po3 schematics or range formations or I should say proper range formations they will see that price is trending down making lower highs and lower lows and right there in that Supply Zone which is most of the time also Confluence with retail resistance they will try to short the
(13:42) lower high there and get absolutely wrecked and liquidated once price starts his aggressive expansion towards the upside so if you see a supply Zone that could hinder price if you do have all the other requirements getting met don't let that hinder you for not taking the trade because you'll probably see that you get a tiny rejection followed by a continuation completing the schematic now a few details regarding the expansion phase itself I want you to be aware that even though the expansion phase tends to be very aggressive it is
(14:16) allowed to consolidate to go up consolidate potentially even retrace before continuing higher it doesn't have to be one straight shot up okay you will see scenarios where it is indeed one straight shut up but it doesn't always have to be that it can come up it can consolidate it can retrace a bit before continuing aggressively higher however the moment you're continuing higher that tends to be aggressive but in the meantime of going up you could have some consolidation such retracement within the expansion phase okay so don't think
(14:54) that you have to exit the trade the moment you start consolidating or retracing no that that is also completely fine now last thing I want to mention before we're going to dive into the live trading examples is that whenever a TCT model fails I want you to pay attention to the potential creation of a po3 because if you put your focus on identifying High probab High probable TCT models which are explained inside of the Discord server the reason that price is behaving that way creating a potential model one having a good return to Zone that is not
(15:41) for nothing so if your model one fails even though it was confirmed instead of immediately giving up on the idea of shorting you want to look at price from a POV where you have to ask yourself okay what could be some extra manipulation that the market maker could potentially do before indeed completing the reversal back down that I was initially expecting and this is truly a shift because like sometimes you'll be short and maybe you even took a loss on the reversal back up and that loss hurts you and you immediately give up on the idea



(16:20) of the short playing out well sometimes the idea of shorting was good it was just the moment of Entry that was one moment off and then you have to be aware and you have to stay looking at the charts objectively because they the market maker could manipulate price just for a bit more before indeed completing that initial idea so when you have a distribution model could be a model one or a model two that is looking extremely good and it fails I immediately want you to Swip the flip the switch of okay we could be potentially having a P3 here
(16:56) especially if we break out aggressively after confirming a good-looking TCT distribution model I want you to be extremely cautious and not switch um not switch and flip bullish but identify okay we are still inside that dl2 let's look for a potential po3 okay so don't give a up on the idea as long as you are identifying high probability distribution or accumulation models and look for a potential P3 okay now let me take a sip of my water and let's dive into some live trading examples so starting off with CRV I have already put it on my chart so
(17:46) let's go over what you are currently seeing on the chart now what you're seeing is you're seeing a range right here you're seeing manipulation below and then you're seeing the expansion up so I mainly just wanted to show you guys a a live example on the chart where you can see the po3 in full effect where this is obviously a picture perfect model that has and a beautiful accumulation model one going into a model two right here in the manipulation phase a good return to Zone in the range while having a very easy aggressive expansion up but let's

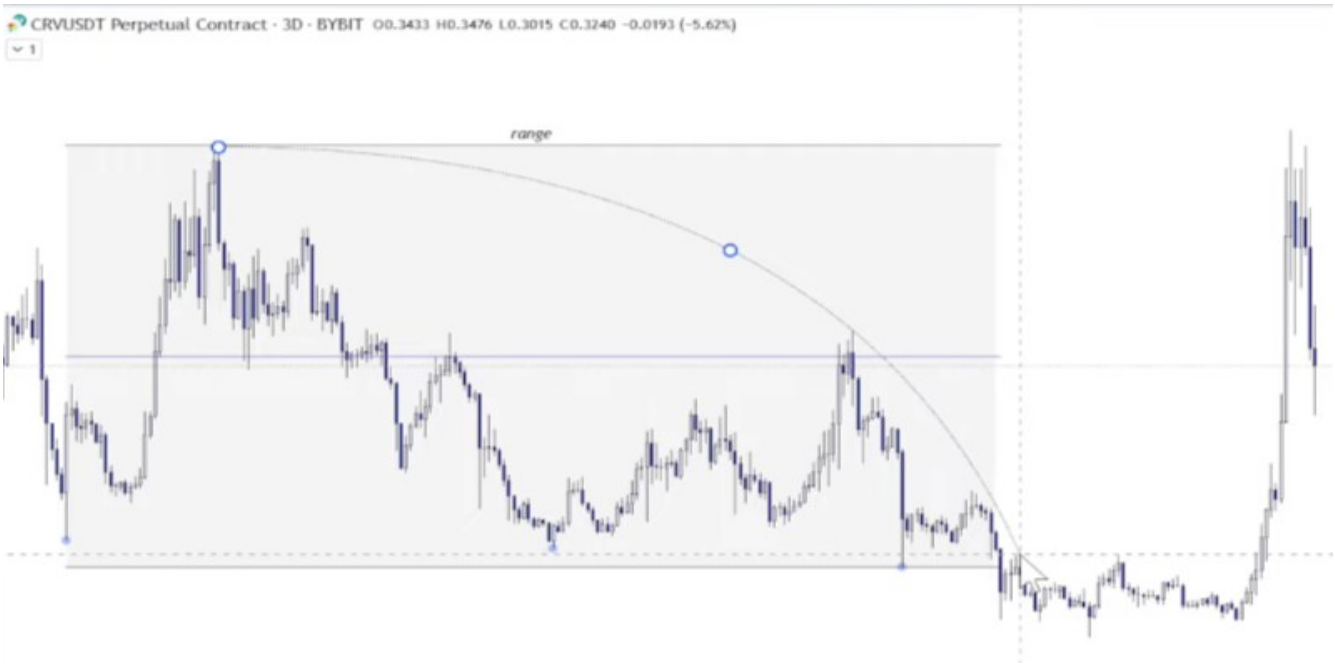
(18:21) see my thought process behind putting this range on my chart so was trending down very aggressively making lower highs and lower lows and we can see that right here between this lower highs and lower lows you can see that this lower high and lower low is getting way more extended meaning price is not trending down that aggressively and we might have a potential range in the um creation so when we're trending down we pull our range from low to high right here and then we'll see that price has a range low has a range



(19:05) low if I can put it on the chart has a range low has a Range High and here we actually deviated our range low showing our first signs of a potential accumulation now from there we actually going to extend that range low to the deviation low and we see yet again another deviation indicating a potential model one accumulation now we never broke High time frame structure back to bullish never really confirming the accumulation and then we ended up breaking down so like I just said instead of giving up on the idea look for a potential

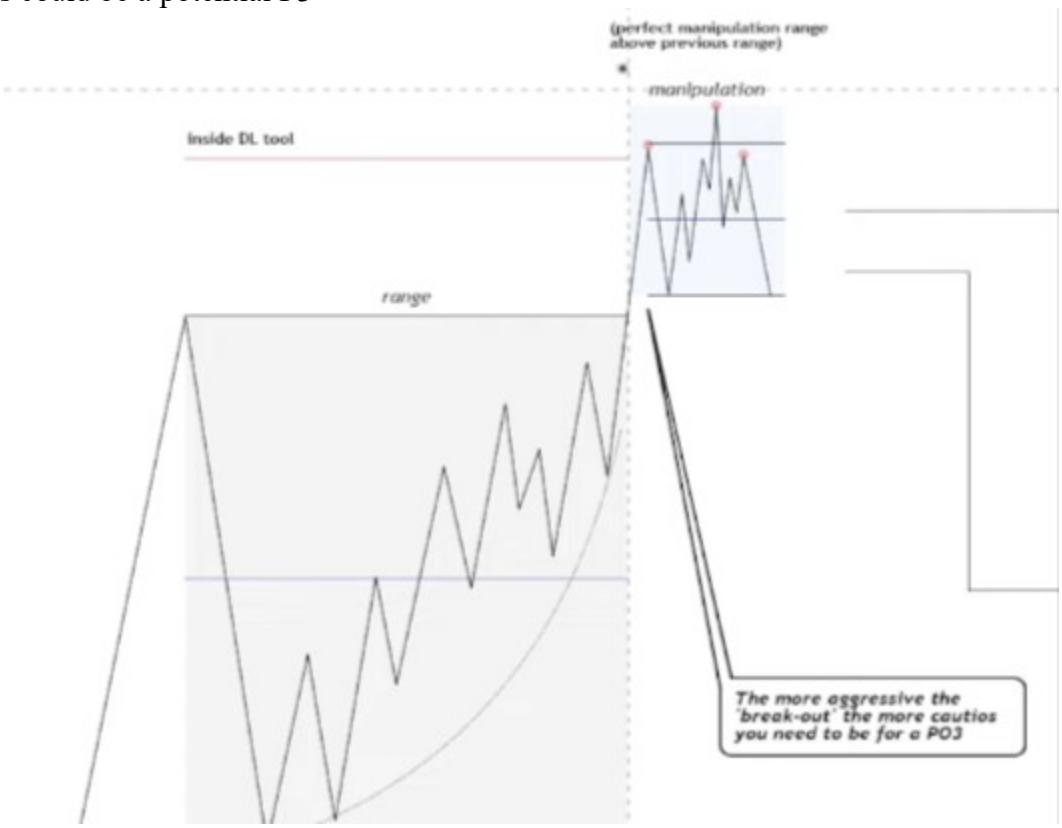
(19:44) P3 and then the first question is going to be okay does this range have a good return to Zone and we're going to look at this range right here this would be our range do we have a potential good return to zone now I want to clarify and this is something I should have said in the beginning when I'm trading a po3 I am mostly trading p3s on the high time frame okay so I would say my requirements if you want to have like a rule of thumb I'll kind of use them on 4our ranges minimum okay and that is referring to the range

(20:32) part of your po3 the manipulation range can be on the lower time frame but the range itself will most likely be a 4our plus range so I'm not trading this on the low time frame at all okay at all it will mainly be on the higher time frames now we're seeing right here that we have these lows which are stacking up to becoming lower lower highs and lower highs and lower highs lower highs lower highs lower highs lower highs so if I had to draw a liquidity curve right here from low to high you can see that we can connect these curves beautifully right



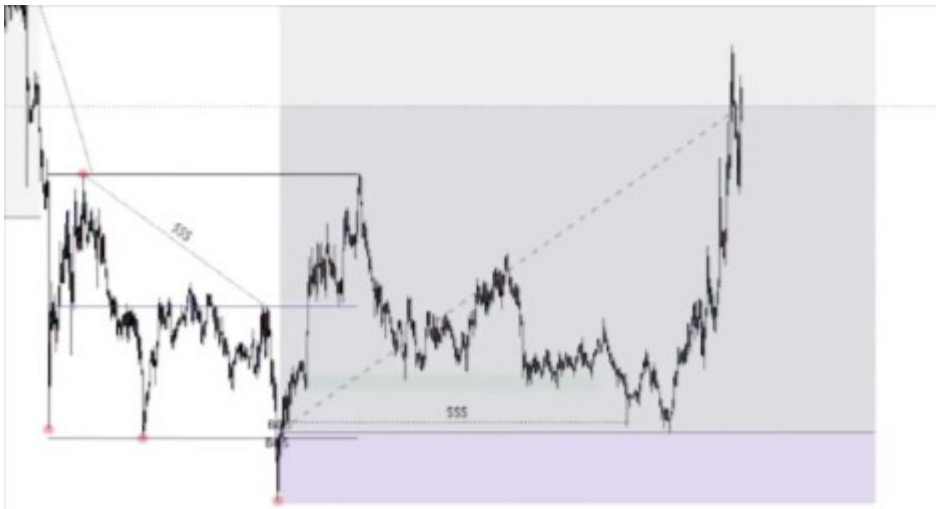
(21:10) here indicating a good looking return to Zone we do have some Supply zones inside of this curve itself but because we are trading the higher time frame you do not have to have zero Supply zones along the way as long as you can see a curvature effect coming down that is already good enough so right here we broke down aggressively from our range and let's check did we stay inside of the dl2 because that's something you should immediately ask yourself and you can see we had so much more room towards the downside while still staying inside of
(21:50) our deviation limit so yes we broke down but we're still inside of our deviation limit now let's check for a new range creation U and look for the requirements inside of the manipulation range so we can go now on the lower time frame and we can see that we broke down from the range therefore pulling our range from low to high and we can see this is what we currently have we had a range low let's make that red we had a Range High and then we had our deviation one showing signs of an accumulation and then we had our deviation two indicat in

(22:29) a potential model one accumulation schematic so now looking at the requirements that we need to have for a manipulation range we can see okay we're inside of the dl2 we have an aggressive breakdown we have a perfect manipulation range below our previous range low right here we just back tested it on that Range High we have a valid model one accumulation that's actually looking at the model itself an extremely goodlooking accumulation model having nice trendline liquidity above right here so this could be a potential P3



(23:13) schematic so what we're simply are going to do is we're going to check okay when did this schematic confirm itself so let's go on the lower time frame let's see right here let's go on the 30 minute right here you can see that you want a break of structure that is back above okay your original range value low which is this horizontal line right here so even though you broke structure right here on the 30 minute following the six candle rule I would not enter on this is break of structure but what you could do is simply wait for
(24:02) the second break of structure that is back inside your original range look at that so right here you had that break of structure back inside you've reclaimed that range low and now you can enter on the break of structure put your stop loss below the low and Target that Range High now originally you would have a trade setup that looked something like this which is a 3.

(24:31) 6 risk to reward which is a decent risk to reward but it is a pretty high time frame setup so if I'm trading the higher time frames where my trade you know plays out in a span of uh 18 days I would like a better risk to reward however we know that this manipulation or this accumulation play could be part of the manipulation phase of this macro po3 so we have the potential to extend our Target all the way up towards the Range High of our manipulation phase see how the entry is the exact same you just extend your target now what happened from here is
(25:14) that instead of immediately breaking out price ended up deviating that high coming back down consolidating and kind of confirming that this model one went over in a model two with sweeping all this liquidity or all the mitigating all the man that we left behind right here also sweeping liquidity reaccumulated before going up higher and this is immediately an amazing example look at that let it play out real quick there you go and now you start your expansion phase so you can see that price actually ended up coming back for that entry



(25:58) sweeping all that sell side liquidity right here first High time frame Mark strcture low creation therefore making it your extreme liquidity and therefore also showcasing that this model one accumulation that you entered on went over into a model two accumulation right here and this is already an amazing example because it goes to show you that if you're trading a po3 you don't need to have immediate follow through from that range break it is obviously preferred but here you can see an example where you know price had to come

(26:33) back down first before uh putting in another higher low sweeping more sside liquidity giving the market maker the opportunity to fill more positions before squeezing aggressively back up so the moment price was uh the moment price was ready to break out we had an aggressive breakout right right here and price simply never looked back you can see I'm on the 12h hour you made higher lows and higher highs and you squeezed up so aggressively and the reason why you squeezed up so aggressively is because you had that good return to Zone

(27:06) where all these stop loss were getting triggered making price causing buy orders and therefore making price pump up higher really fast so you can see right here in a high time frame example where um you could have easily predicted this 500% move on CRV because you had this range you had the manipulation below and had the expansion away okay so right here amazing example of a very high time frame P3 model where you have to range where you have to return to Zone the model one failed we immediately look for a potential po3 you have your

(27:45) manipulation phase that end up being a model one accumulation going over in a model 2 accumulation where you enter simply base of the TCT model as you guys know and then you simply take get potentially towards that Range High just like this boom and the expansion is that followed absolutely amazing example guys now let's head into some more examples let's grab the Bitcoin chart okay and we're going to use a very funny example because the bare Market low of the bare Market low in in December and November 2022 with the FTX collapse that
(28:35) was a po3 schematic yes I know you're probably thinking ah if only I knew it back then I would have made so much money now you know it now and they going to be and they going to be way more opportunities in the future okay so looking at this price action in the bare Market what can we see well obviously we can see that price is trending down very aggressively making lower highs and lower lows but we can also see that you know from this low to that low it took a very long time it's not really price trending down very

(29:19) aggressively in other words we probably have a high time frame range here okay now we're trending down so we pull our range from low to high and then voila we have our beautiful range low and our beautiful Range High right there okay now we can see if we look on the high time frame we have a valid 5day range it is a high time frame range and right here November 2022 we had the FDX collapse and we came down very very aggressively but what did I I tell you guys about coming down so aggressively let's go back to the

(30:04) example the more aggressive the breakout the more causes you need to be for a po3 so while the entire Market was stressing thinking that we're going to reach targets of 8 to 10K Bitcoin we were simply setting ourselves up for our macro bottom cuz right here you can see that we came down aggressively and we closed below and what followed from there was a manipulation range let me go back in time right here just like that what followed from that breakout was a range formation right here where price came down came back up
(30:50) let me put this to the side right here this was our range right there that was a range price came back down moved back up and then created a new Range okay or right here we deviated that range low and later on we came back for extreme demand here I realize I'm on that BTC USD byit chart now but on the other exchanges we did actually came back for extreme demand validating that this is going to be in accumulation model model to accumulation while having a proper return to Zone just like this that literally was the accumulation

(31:46) model that was the bare Market low now one thing that's differentiating from this potential po3 from others is that the return to Zone in this range was not the best okay and I want to clarify that if we are trading macro po3 models you can be a bit more flexible with the requirements of the return to Zone in the range because like I just said this was a five day range which is absolutely an extremely high time frame because I said the minimum is 4 hours so if you are trading these 4-Hour ranges yes you want to have a

(32:32) good return to Zone and we're going to come into examples where we do have that amazing return to Zone however I wanted to show you everything and not just the picture perfect textbook schematics so if you are in Key pois where you're expecting a potential High time frame bottom and then you have a good range formation and you're meeting the requirements but the RT the return to Zone isn't the best you can still use use it okay so right here the range wasn't meeting all the

requirements from a return to Zone perspective but we did
(33:07) have that manipulation phase uh right here that did meet the requirements because let's check was this range a breakout now we can see our manipulation phase stayed inside of our dl2 so that is a check we had an aggressive breakout so we need to be more cautious for a po3 that is a check we have a perfect manipulation range that has a picture perfect model 2 accumulation schematic right here you enter on the third top of the accumulation model and then just like we saw on CRV price came back up but we deviated
(33:49) our Range High okay so we came back up deviated our Range High and then price ended up coming back down for more demand before actually going higher so you can see kind of also a pattern with these macro formations because the same way that CRV came back down to sweep more liquidity before uh completing the expansion phase the same way that Bitcoin right here came back down to mitigate more demand before completing the expansion phase and we can actually see something pretty interesting right here regarding this po3 and that's

(34:25) because we did not immediately have one one straight shot up to complete the po3 formation with the expansion phase you can see right here a prime example of price having its first run up then Distributing cooling down coming back lower before completing the schematic and that is completely fine okay that is completely fine you can do that very easily you don't have to have one straight shut up it can cool off it can retrace before it can continue itself and now that I'm saying this it is very funny but I realize that right

(35:06) here we have another po3 schematic that I initially was not going to use in the lecture but now obviously I will because I'm seeing it so and this also has even another Advanced detail where you can have a po3 schematic on the lower time frame inside of a bigger time frame po3 model which just adds extra conf fluence because the context is that price needs to come to this Range High so the same way that I talk about you know context building within TCT models if you have a confirmed po3 which is confirmed the moment we break out

(35:46) right there you know price is going to reach that Range High Target so if you have another P3 in here where I'm referring to this po3 and we're going to go go into the details in a minute this po3 is extra good to trade because pricee the order flow objective of the move is to come towards that main rage High which we haven't hit yet so you're trading a bullish po3 in order a bullish context and a bullish environment okay this needs to be the manipulation phase right there so in these situations obviously if you're inside of a bigger po3 you can

(36:32) extend your Target because price has to come there either way to complete the bigger po3 and that's why you can kind of combine the two right which is an advanced detail I wasn't really going to talk about but it was inevitable talking about these um examples so going into the details let's see what we have and if it actually meets all the requirements that we always talk about so let's zoom into the price action right here and go on the lower time frame like in this case the 6 hour okay so what we have right here is a

(37:13) beautiful range formation okay now how this range originally started was you had your Range High you had your range low and then you deviated the high multiple times extending our Range High to the last deviation High we had a reversal back down probably some sort of distribution model there and then we broke down and you can see that we broke down very aggressive okay we broke down very aggressive In This Very bearish candle here the 9th of FB 2023 however we came into this key demand zone right here on the left which is

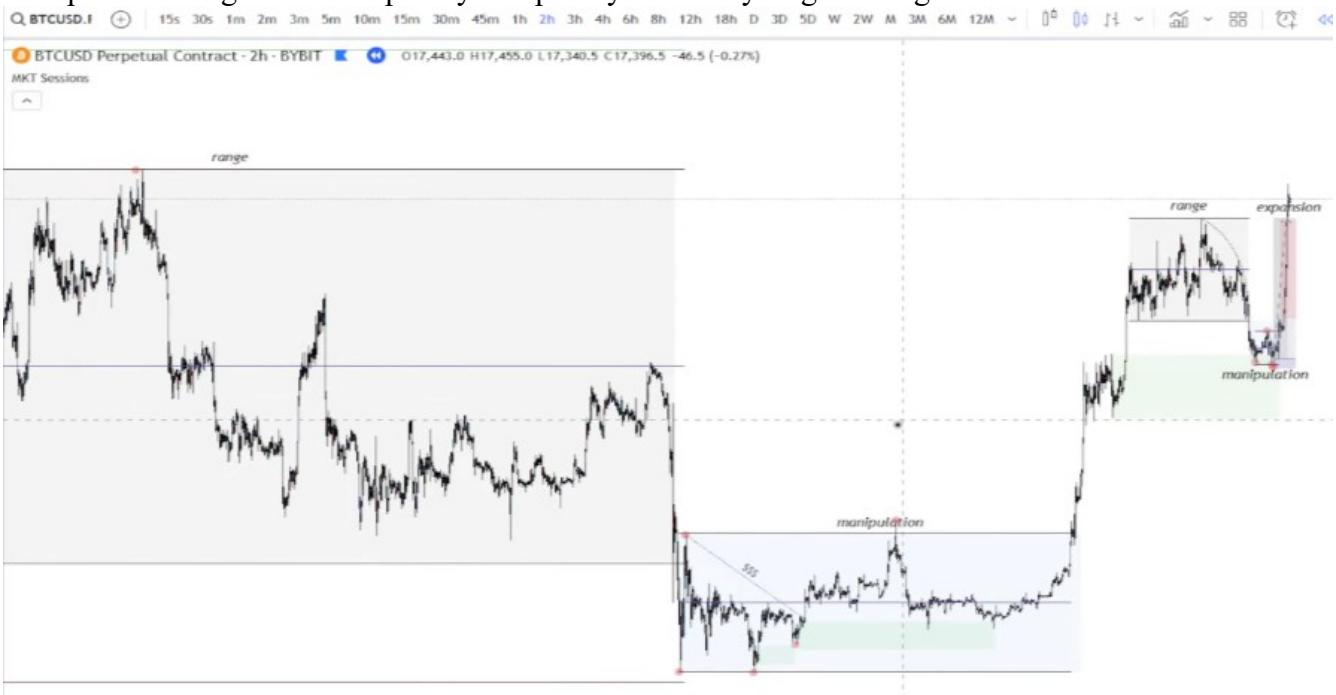
(37:48) structure demand the overall context was also still bullish and you can see that you have your dl2 and we're not closing convincingly below that dl2 while coming into demand and as you guys know from the lecture if your dl2 is literally aligned with a demand Zone you just don't want to lose that demand Zone okay you can have a tiny close above your dl2 but it's simply because you're mitigating demand and you can see right here you don't have convincing closing candles below that dl2 still making it a potential valid deviation okay but
(38:26) that's all explained in the DL to lecture so we have a range here and now let's look at the range itself because this is indeed a lower time frame range so now we do want all those range requirements which is to return to Zone to be met so this is our range now does this range have a good return to Zone we can see this range has an amazing return to Zone you have all these highs here stacking up to be lower highs truly leaving no no Supply behind and this is truly what we want to see if we're trading these lower time frame uh

(39:04) po3 schematics okay so you had a beautiful return to Zone inside of the range itself making it for a very easy move up in the future if we do exceed these price targets okay so we have a range we have a breakdown and the range meets all the requirements so we need to be aware of a potential P3 okay okay now let's look at the range that gets created in the manipulation phase because what we can see right here is we can see that price is coming down we're coming up and then we swept that low right there we're coming down we

(39:45) pull our range from low to high and what can we see right here we can see we have a range low we have a range high now we can go on the lower time frames and you can see that price has a model one accumulation schematic with a one with a two with a three right here two deviations each deviation going lower than the previous one truly showcasing a model one accumulation we also have a decent return to Zone inside of the range itself where price is truly curving down right here nice return to Zone and then your

(40:24) entry is on the break of structure like you nor normally would enter a normal uh TCT model right here let's go on the lower time frame right there here you can see we're breaking that market structure back to bullish after putting in that third tap right here you can see the that most local structure making lower highs and lower lows turning back to bullish right here and then that is your entry however now now stop loss goes below the low that all stays the same but instead of your target now being your accumulation

(41:06) High which is already a decent risk to reward of around 3.25 you can potentially Target the Range High of your po3 schematic extending your RR and increasing your RR from around three to over 16 where then this is the entire manipulation phase and now we could have a potential expansion back up and we can see price ended up absolutely squeezing through now also when I'm trading on these lower time frame models like the 4our I like my range to be completely below the my manipulation range to be completely completely below my original range of



(42:00) the po3 so we can see that on the higher time frame it was kind of combined you're kind of you know your your your Range High right here in the beginning is kind of exceeding and coming into that original range from the po3 right here you can truly see that you have your own manipulation range that's completely below the range of the po3 okay I like that more um but as always when you're trading the lower time frames when you're trading lower time frame schematics you need to be more and more strict and when you're in the

(42:29) higher time frame you can be a bit more loose with the concepts okay or with the exact rules can be a bit less strict but here you can see a prime example of a lower time frame schematic where we have a range we break down aggressively coming into potential support stayed inside of that dl2 area combined with high time frame support while being in that higher time frame P3 schematic that did not hit its Target yet let's not forget and uh you have an amazing schematic in front of you but you can see instead of just simply um trading
(43:05) this low time frame model one that all of you now already can based off this mentorship you can extend your target uh to all the way to the Range High increasing the RR from around 3 to 16 which is almost a f more than a 5x on your return simply by understanding context building through the POV of a P3 okay now Bitcoin has even way more because I also want to show you guys some examples of different types of manipulation phases where you have those exceptions so right here and this is actually my first trade of the Year
(43:47) 2024 what we can see is that we have a high time frame range okay so price came up aggressively came back down we're trending up you can see we have a clear up up Trend we're in the bull market and in uptrend we pull our range from high to low okay P range from high to low and right here we have our range voila boom this is our range now right here price is breaking right here price is breaking out of our range okay so we immediately need to be aware also of a potential P3 formation now what can we see right

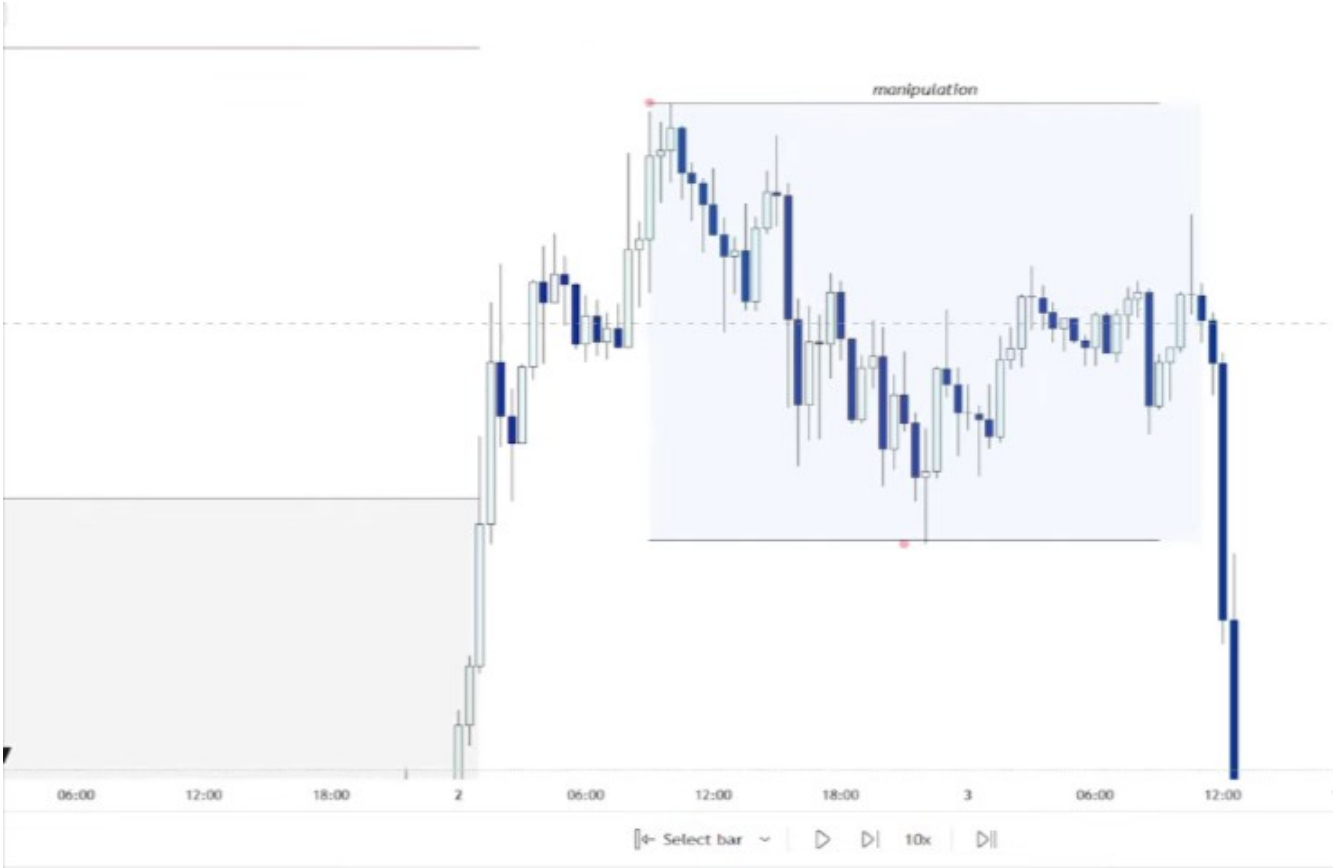
(44:32) here do we have a beautiful return to Zone yes right here you can see that you have all these lows that are stacking up to be lower or that are stacking up to be higher lows where you simply have this wake low that wake low that wake low that wake low and then all these lows they're slowly right here grinding up leaving a lot of cide liquidity behind but the most beautiful part about this range is that we didn't only have the liquidity below like I said in the examples of your range you also had liquidity above right here okay now like

(45:10) I said here it is even better if you have price compressing within the range building liquidity on both sides and that is exactly what we saw right here where you have the range and you're building

liquidity below while also building liquidity above and then when you have that first move follow retail patterns the first move tends to be the fake move because a lot of people will look at this and they will talk about this being some sort of like u a boo flag or whatever they would like to call and they target way
(45:39) higher and then the market makers benefit of that retail pattern by making the first move the fake move reversing back down liquidating all of them before actually moving higher but right here we can see an example where price has that range formation and we are compressing inside of the range and then we decide to move in towards the upser upside Direction so already when you're starting to move and break out of that uh compressing effect and that retail pattern you need to be extremely cautious of the move okay instead of

(46:11) being bullish become more cautious now right here we have the range the range meets all the requirements the range actually you know has an extra benefit to it so it definitely meets other requirements for a potential po3 now let's look look at the manipulation phase right here let's look at the manipulation phase right there first did the breakout exceed the dl2 we can see right here no we didn't we stayed inside of our deviation limit never even touching our deviation limit area therefore this is a valid potential
(46:49) manipulation now let's zoom in to the range that got created right here now what you can can see is that on the higher time frame Price is Right Here price is moving up moving down and then we had to move back up okay making this your range formation right there let me oh put this a bit to the left there you go and now let's look at this range so this is your manipulation range okay this is your manipulation range now here we can see an example that we had a manipulation range and we had a Range High and we had a range low but

(47:46) our range L our Range High never got taken so we never had a distribution model properly like we would prefer okay with deviating that Range High but if I zoom in on the lower time frame and I get rid of this equilibrium to kind of clear things up otherwise it gets a bit messy you can see that on the lower time frame we did indeed have price trending down here making lower highs and lower lows having its own little range here where this range was actually a low time frame accumulation right there with a one two



(48:31) and the three that turned into a model one distribution schematic right here so we have the range had a model one you came to the Range High Target right here and you turn that accumulation into a distribution so here you can even combine the concepts I've given to you where you know an accumulation can turn into a distribution because we have the potential of po3 so are in generally more

bearish than bullish and you can see we had a po3 here where we did have a distribution but it's one of these examples where we had an internal TCT
(49:08) schematic where you had a distribution model but you never swept that initial Range High right there exception to in a live training environment now this was actually an absolutely insane trade because we got a very refined entry within the model itself right here right here we broke structure Supply creation right there and uh I remember actually shorting this with my stop loss on the on that break of structure retest Bel above this uh Supply Zone and now we can simply not only target the range low of this distribution model in the

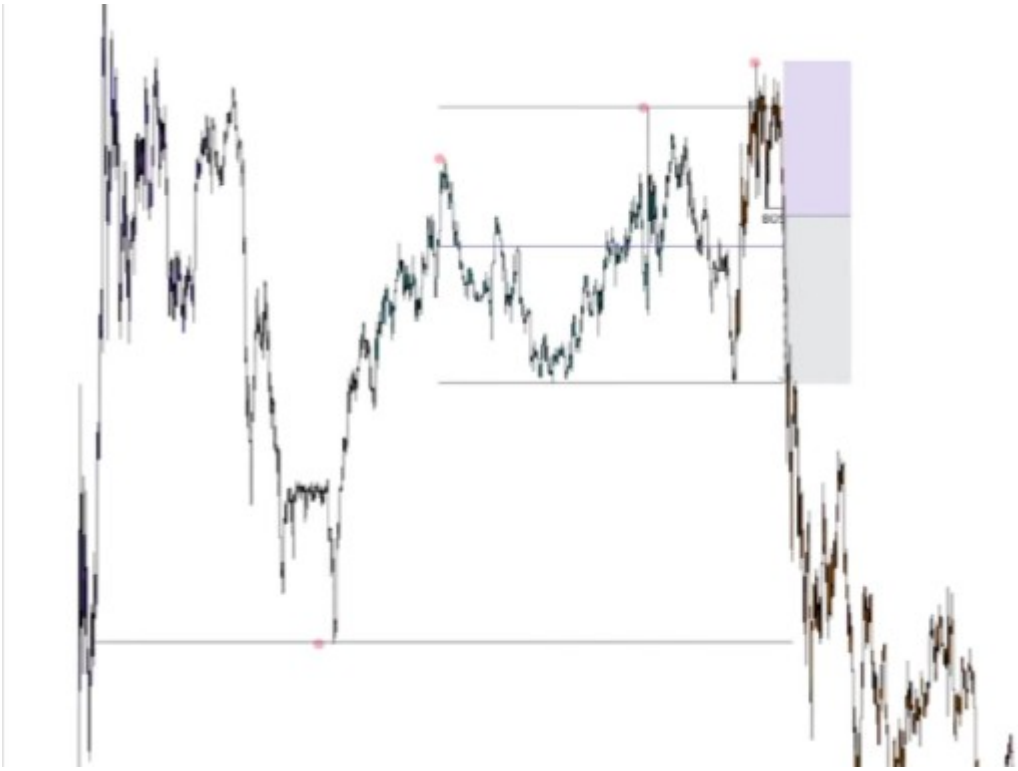
(49:52) manipulation phase but we can actually Target all all the way down to this low and this brings me to another great point and this is what you'll see you know nothing is always textbook nothing is always textbook and that's why it's so great showing you these live examples that price dumped down very aggressively like come on now very aggressively but as you can see we never okay we never swept our range low what we did is we swept the extreme liquidity inside of the range and therefore I want to um encourage you guys to have multiple
(50:31) takeprofit orders see where the liquidity is resting inside of the range and scale out from these lows set one limit set two limits set three set four set five and scale out that way and not only set one TP otherwise you get you could get front Rand really hard and you can see this was an extremely fast move if we go on the lower time frame it was such an aggressive Weck that immediately shot back up over 6.

(51:00) 66% and if you don't have those limits to scale out you could get your TP front Rend and lose out on Amazing profits okay but here is a prime example of having a range deviating above staying inside of that dl2 and then having a valid manipulation play using exception two where the range had a perfect compressing effect adding to the likelihood of your po3 playing out this is absolutely an amazing trade remember this was my first trade of the year so absolutely amazing now let's continue because what we recently had was the exact same play okay what we recently
(51:41) had was the exact same play so remembering that situation that we had right there at Jan so the example I gave to you was the example right there we recently had the exact same on bitcoin it was the exact same guys so you can see these market makers truly play the same play multiple times so price was trending up very aggressively making higher lows and higher highs when we're trending up we pull our range from top to bottom just like that poor range from top to bottom and we have our range right here now what can we
(52:21) see is price is building up beautiful liquidity above while also building up beautiful liquidity below right liquidity below is getting build up connecting these lows here liquidity above is getting built up so we have a range that has this compressing effect in a very bullish Market environment because this pump was the pump that brought us to six figures therefore setting itself up for the perfect manipulation play because if Bitcoin hits six figures it's going to be all over the news and everyone is going to

(52:52) get bullish okay so we can see we have the range and this range obviously meets all the requirements like we just discussed it even has that extra requirement of Contracting and compressing inside of the range now we broke up very aggressively now let's check our deviation limit tool now okay on the 4H hour we closed above but this range is also valid on the 18 hour and on the 18 hour we deviated it so obviously High time frame over low time frame so if we deviated on the high time frame but the range is still valid on

(53:28) that same time frame it is a deviation and it's inside of the dl2 okay so we're going to drag this to the left and we're going to look what this what did that um manipulation phase look like so right here we can see the same thing where price creates a range right there we create a range let's get rid of this EQ and you can see that you never grabbed your initial Range High had your Range High you had your range low and you never grabbed the original Range High but what you did have right here was a range formation inside of your

(54:16) high time of your higher time frame range and with the higher time frame range I'm referring to this bigger manipulation range that did have its model one distribution schematic that you could have traded so going on a low time frame right here you can see your entry would have been initially you Wicked right there and then you Wicked again but you did get that break of structure over here boom break of structure and right here was your short entry your stop loss could have gone above that distribution high but instead

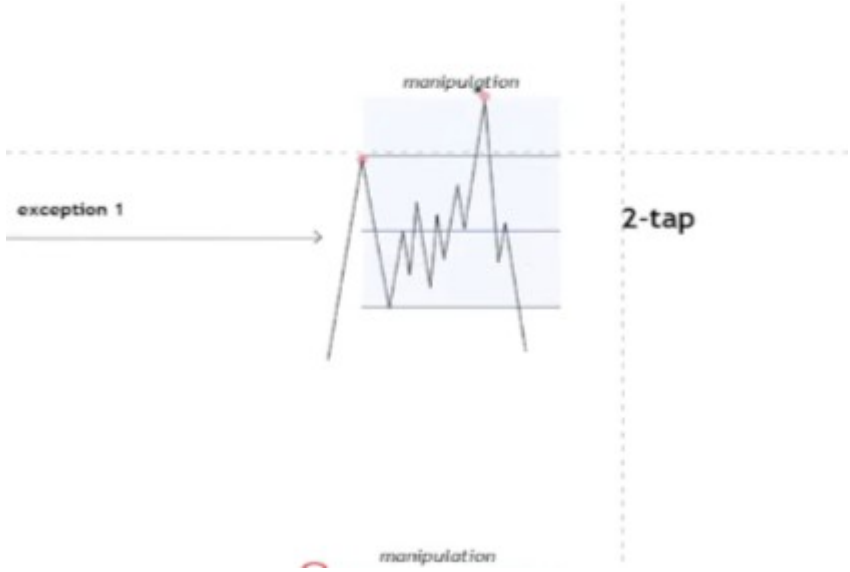


(54:45) of targeting this local range low for only a RR of one which would not have been worth it to take you know that you can potentially get a full on reversal back down all the way to the po3 low increasing your RR by 20 from a one RR to a 20 RR simply by understanding this Advanced way of building context so right here this would have been your manipulation and it was also a beautiful range fully above that original range from the po3 not connected in any kind of way and then you had that aggressive expansion towards the downside site right

(55:28) here boom connect that there you have it look at the outcome boom and look at the

aggressiveness of the move and this is what I'm saying these P3 p3s when they move they tend to be very aggressive because it's such an aggressive manipulation play right so many people got trapped here I can turn on my volume for you guys and you can see the amount of volume that came in the moment price was breaking through that high look at this massive volume Spike the moment we broke through that Range High that is people opening up long positions because

(56:07) most of the liquidity was already grabbed on this move up right most of the liquidity inside of the range was already grabbed on that move up which resulted in this volume Spike so this volume Spike was people actually getting stopped out but that volume Spike was people opening up long positions this is not just a theory retail actually opens long positions and this was obviously the ultimate trap because it was around that 100K area which is like a massive Milestone and you can see the volume Spike that resulted which is literally
(56:37) people getting liquidated okay I think around a billion got liquidated in the crypto Market on that push down but this is how you could have traded understanding P3 models okay now I have two more examples I need to show you guys and first I want to show you an example of exception number one which is when we're putting in a two top formation and gold in my opinion was an amazing example of that so overall go was trending up very aggressively you can see I don't have to draw that you can see we're in a very aggressive uptrend and the trend is your



(57:15) friend until the end of the trend so we kind of had price making higher lows and higher highs right here so overall we are expecting a higher low and obviously context stays in important guys context stays important now we have two levels of Market structure we have this move up and then we also have structure from the top down going lower and you can already see when I try to draw this structure which represents our level two Market structure this is a very broad lower low and therefore we can pull our range from

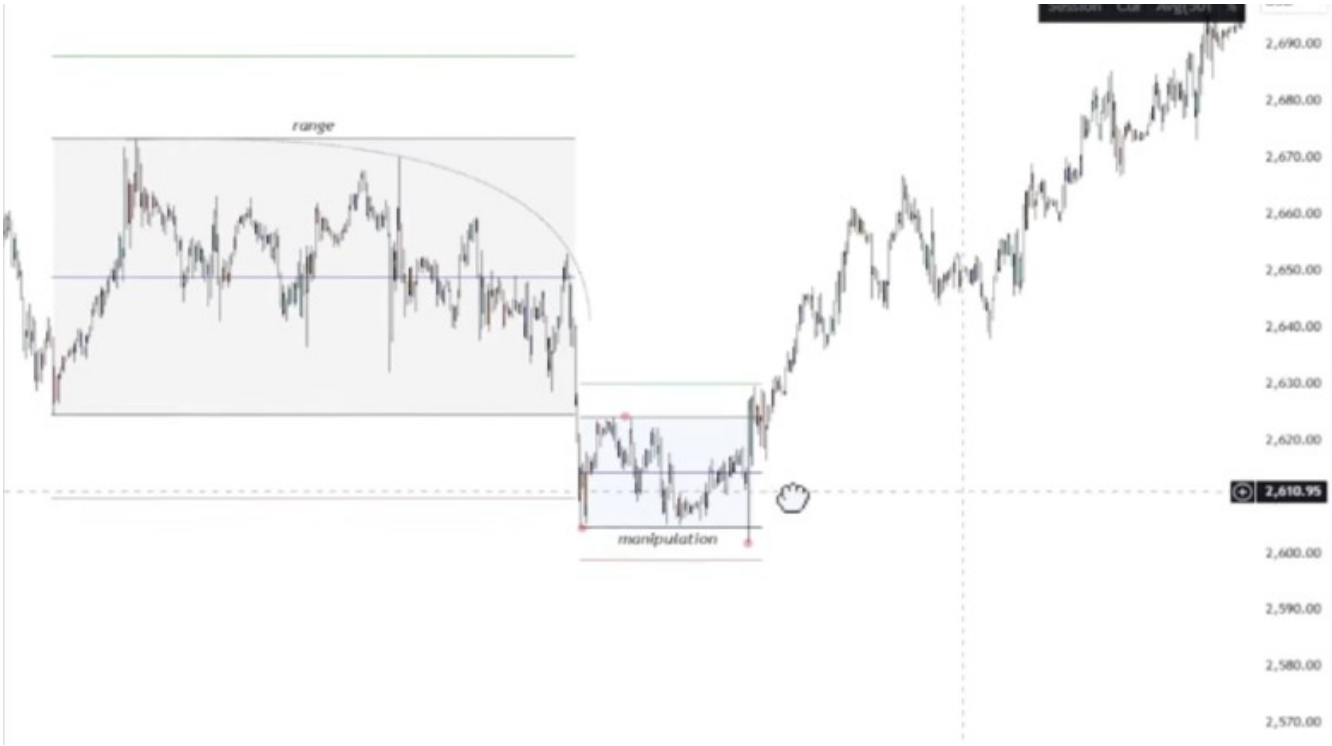
(57:45) top to bottom we're in the downtrend pull our range from low to high and you can see right here that um we have a range formation now right here we have our range and then price breaks out very aggressively from the range and every time you have that you immediately need to think okay can we have a potential p33 if you're going to have an accumulation model you will deviate the low but you will not be breaking it this aggressively like look at the aggressiveness of this break right of this move down of that candle so

(58:19) whenever you see such an aggressive move down immediately think po3 P3 P3 potential we have this r now we're trading on the 4our so you know this is like the minimum that I want and therefore also you know since it's the lower time frame according to P3 models we need to have you know all the requirements meeting up so we can see do we have some sort of a return to Zone here and yes we have an amazing return to Zone where you can see all these uh Highs are building up right there it's a beautiful liquidity curve right

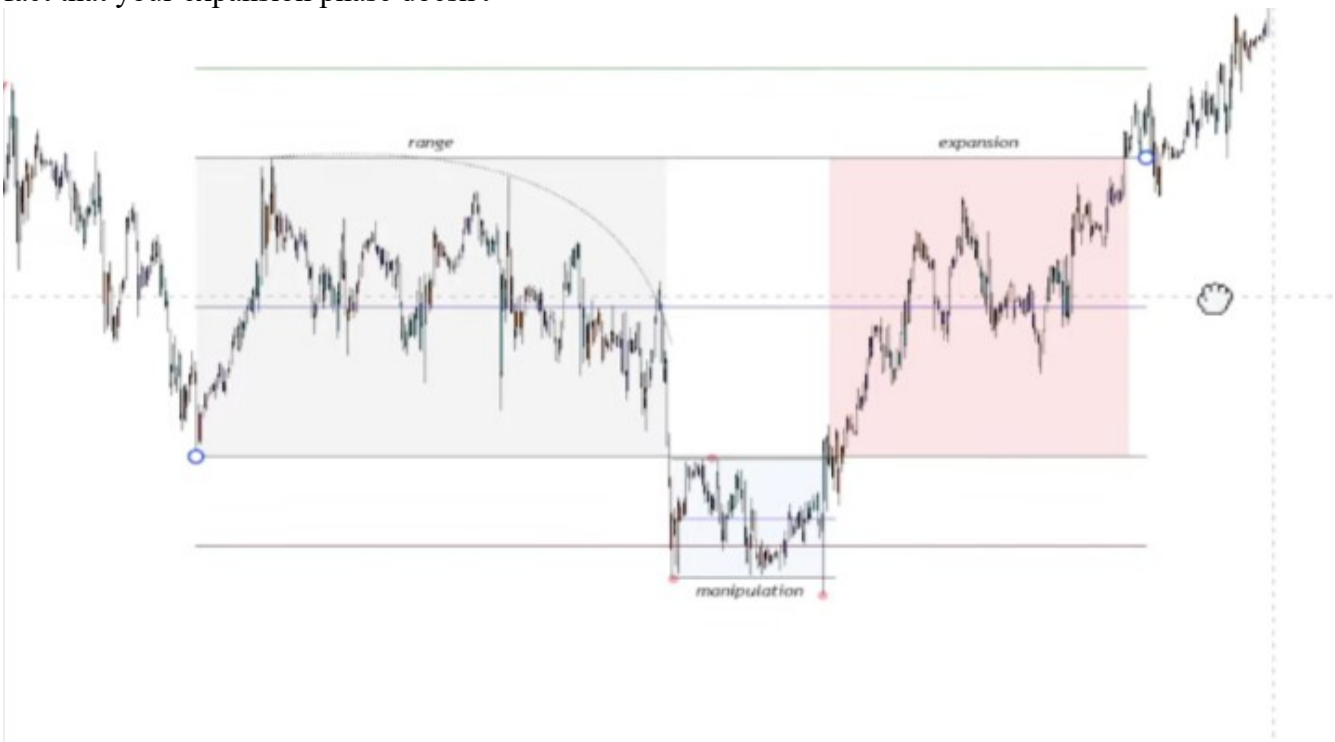
(58:50) here where price is truly coming down leaving all these highs intact followed by a massive inefficiency of this aggressive move down so this range meets all the requirements then we have to check that we stay inside of our dl2 we turn that on which you look at that we Wicked our dl2 but we

never closed below it making this a valid uh deviation still okay even though the break is is aggressive it is a valid deviation so now we're going to go on the lower time frame and we're going to look for a range creation
(59:24) and look at that again these are the best range Creations where you're truly below okay truly below the range low of the range of the in the po3 if that manipulation range is below that range of the po3 that's always extra perfect it's like picture perfect right so right here we can see that range and we have our range low we have our Range High and this could be the manipulation part okay now what you can see right here is that price on the lower time frame right here we swept that range low incredibly fast okay swept that range low

(1:00:07) incredibly fast right here and then fully reversed back up now this was actually a news event right this was actually a news event I remember very well where at 2:30 p.m. we got a news release price came down swept the liquidity of that low and swept that range low and fully reversed back up so it was harder to enter this you had to enter on news on the lower time frame which is always riskier but it just goes to show that news completes where liquidity is so we had a lot of liquidity below news sweeps that and



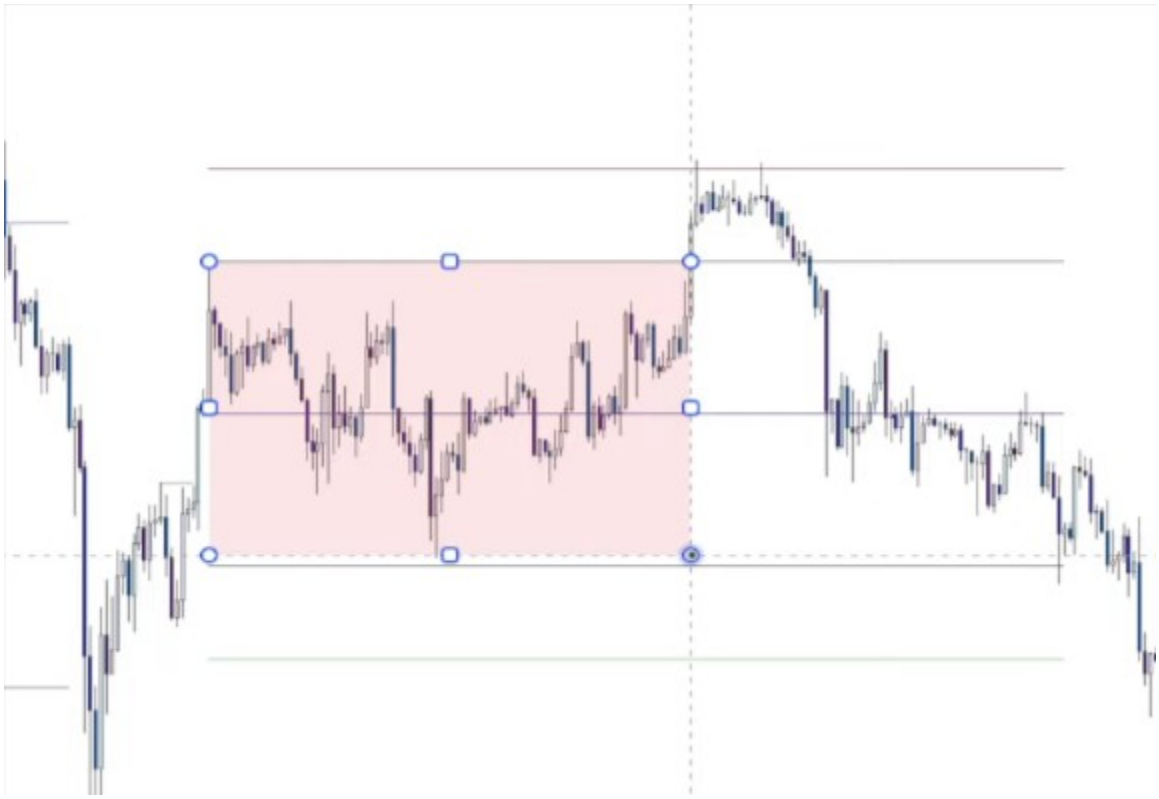
(1:00:40) then reverses back up completing the schematic I'm always a big believer in the fact that you know um you show me the pricee and I'll tell you what news is going to be okay news doesn't just randomly reverse price it always seeks liquidity which is what we had here but you can see we had the range it has a return to Zone we deviate the range low inside of the dl2 we have the range formation um we tap that low and then we fully reverse back up right here and this also again a great example of the fact that your expansion phase doesn't



(1:01:15) have to be one straight shot up you can see right here that we took some time we moved back

up we Consolidated before completing the schematic and going higher and again taking High timef frame long positions in these places are all very good ideas because you're trading in the context of the fact that price eventually will come towards that high right so sometimes you know when you've missed the po3 don't be sad because now you know what the context of the chart is going to be which is bullish and you can search for lower time frame entries
(1:01:48) for higher time frame targets but again guys you can see an example of a po3 here where you have the range you have the manipulation you have the expansion but it was of exception number two which is that or exception number one which is that two tap formation okay now the last example I want to give you guys is another example on bitcoin which is um one of the examples I took most recently because I didn't manage to catch that one um and that was right here and this was truly such a beautiful model where right here we were in this

(1:02:27) macro range just to build some context we were in this macro range right here we deviated that 49 or we deviated that range low hting that 49k lot of people stressing out we came back inside and what a lot of people were doing okay what a lot of people were doing is they were drawing upward structure I remember this very well we had a high higher low higher high and people were drawing this as structure but when I'm showing this to you guys you should already immediately see that this is not just upward structure
(1:03:00) as you can see there's already a major difference in this first Mark structure pool that broke Market structure right here and the second one because the first one actually looks like vshape Market structure where if you had the pull range here you can clearly see that price broke out of that dl2 whereas if we apply that to the second so-called break of structure by the market structure experts on social media you don't have that matter of fact you have a range formation right here this is a range formation and then price



(1:03:41) quote unquote breaks out aggressively whereas a lot of people become very bullish talking about a higher low for a higher high or price is simply coming in Supply top against that dl2 never confirming a uh break of structure but instead still being in the valid deviation limit area and we are going to look for a po3 because we break out aggressively so our Bells immedately start wringling of okay we could have a potential po3 now let's look at the requirements and we can see that from all the examples that I've shown you guys this was truly the

(1:04:22) ultimate return to Zone that you could have asked for okay this was the ultimate return to Zone truly this is Picture Perfect where all these lows guys all these lows were just stacking up to be low uh higher lows you have one low here one low there there there there there all these lows not even

just Market structure lows but those just random Wick lows they were all stacking up like every single one was stacking up making literally a picture perfect liquidity curve um and therefore we definitely need to be aware of a pot
(1:04:56) itial po3 so we have the range here the range meets all the requirements now let's look at our manipulation phase to see if we can short and trade the po3 formation so what we did is we aggressively pushed out of that range and then we started a new range right here voila let's move this actually to the left so we don't have that in our way there you go and then we have this range let's keep that the range and what we see is we have our Range High we have our range low right there and uh price comes close to the Range High

(1:05:42) or I should I should put it like this okay range high range low my apology range high range low and then price comes close to the Range High but it doesn't sweep it and what we actually had here was a model to accumulation schematic where we had to pull our range from low to high following that local downward structure like you can see right here lower high lower low while also having this range from high to low you can have two range boost based on your two levels of Market structure as you guys know and um this

(1:06:18) is then what you would have just like this and you can see that this accumulation model went over over into that model one distribution schematic right here okay and now we can go on the lower time frame to look for a break of structure and right here we can see price breaking Market structure back to bearish where again we have a scenario where we have that distribution model in that manipulation range but we didn't sweep that Main Range High and that is again that exception to with an internal TCT schematic okay so what you can do is

(1:07:02) you can short the break of structure right here your stop loss as always goes above the third tap high but instead of targeting the range low which would have only been a 1.5 RR and not really that valid to take you can now Target the main range low from the po3 increasing the RR from 1.

(1:07:26) 5 to 15 okay guys that's a 10x increase in your return and look what happened we had the manipulation range right above absolutely beautiful again also here it was a quote unquote lower time frame range compared to the macro ones we've seen on like the 3-day and the 5day um and therefore we need to have that proper return to Zone and I also want a proper manipulation range above that original range from the po3 and then right here you can see the expansion towards the downside and also here it's a prime example expansion it's a prime example
(1:08:01) that it doesn't have to hit the target in one go okay it doesn't have to hit the target in one go it could easily come down or they liquidate a lot of people range for a bit before actually hitting the proper Target okay it doesn't have to be one straight shot down like I said it can dump down it can uh consolidate and then it can continue its way down so you can see that it doesn't happen that often but when it does happen um they tend to be amazing amazing moves you know we can see different uh po3 schematics in here and

(1:08:39) we had different ones in here as well also one in here like I've shown you and you can saw this one or see this one on CRV and the two tap schematic on gold but I hope with also showing you properly all the examples um you kind of have a good feeling right now as to when when you could potentially use it because if I had to summarize it properly I would say you have a range you see that return to Zone building up in the range originally you'll always be looking for a TCT model but if price then breaks out of that range
(1:09:12) aggressively that's when the bell should be wringling of like hey we could have a potential po3 here and that's when you start looking for the requirements in the manipulation phase and then potentially end up trading the po3 by ENT ing any manipulation phase on your TCT model and now whether that's a twap an internal TCT model or a picture perfect one is obviously depending on what the market wants to give you but this is basically all that you need to know to be trading po3 models again guys this is an an addition to building

(1:09:46) context and extending the target of a potential already existing TCT distribution or maybe even trading a distribution or accumulation model that you originally would not have traded because the RR was not good enough okay but don't start switching up your entire trading Style Now by wanting to trade po3 schematics only because they don't happen that often okay it's an addition it's an addition to your already current existing knowledge okay so I will continuously be um improving this mentorship by posting more and more uh
(1:10:22) lectures you know with the months that come by bu to truly prepare you guys for every Market scenario and make you all a profitable Trader if you like my style of trading if you like my style of explaining I trade live inside of the TCT trading community that you can join with the link inside of the bio of this video okay I appreciate all of you guys for watching and I'll see all of you in the next one peace out